9.5.2 Resignation of Auditor [Sec.140 (2) & (3)]

1. The auditor who has resigned from the Company shall file a statement in the prescribed form stating the reasons for his resignation to the Comptroller and Auditor General of India in case of a Government Company and to the Registrar of Companies in case of Non-Government Companies.
2. While filing the statement, reasons for resignation and other facts as may be relevant with regard to his resignation shall also be indicated.
3. In case of non-compliance, he shall be punishable with fine ranging from ₹.50,000 to ₹.5,00,000.

9.6 Powers (or) Rights of an Auditor [Sec.143]

The Companies Act has conferred certain rights on auditor's so as to enable them to discharge their duties smoothly.

1 **Right to Access Books and Vouchers:** Every auditor of a company has a right to access book of accounts and vouchers of the company at all times. Vouchers include all documents, correspondence, agreements, etc. Books include financial, accounting, statutory and statistical books of the company. The term all times means only during the normal business hours.

2. **Right to Obtain Information and Explanation:**
   An auditor has the right to seek information and explanation from the directors and officers of the company. That will enable him to perform his duties successfully. Every officer of the company must furnish the necessary information to the auditor. If the officer refuses to do so, the auditor may report to the members of the company.



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